User manual

Startup Sustainability Evaluation Tool

This guide walks you through the tool end-to-end: what to enter, how each score is calculated, how to read the results, and what every level means. It's concise, direct, and complete.

1.0. What this tool does (in one minute)

- Aligns your startup with **UN SDGs** and **ESRS dual materiality**.
- Assesses **Stage I (inside-out)**: Financial, Environmental, Social impacts.
- Assesses **Stage II (outside-in)**: Risks & Opportunities.
- Produces an **Impact Summary**, **SDG Alignment**, and a **Results Dashboard** and **Recommendations** with priorities and quick recommendations.

2.0. Start here: Home → "Start evaluation" (Named as "Primary data input")

A short intro explains why sustainability matters for startups. Click **Start evaluation** to open the input form.

3.0. Initial Inputs (Basics)

Fill these once; they personalize everything else.

1. **Name** — your name or the startup's name. (Only in the webapp)
2. **Country** — pick from the ISO country list (for context in reporting but no changes, therefore optional).
3. **Business Category*** — select **NACE Division** (01–99) and **Subdivision** (e.g., 01.11).
4. **Offering type** — **Product** or **Service**.
5. **Launched?** — **Yes/No**.
6. **Current Stage** — choose exactly one (full list):
    - Ideation
    - Validation (Problem/Solution Fit)
    - Prototype / MVP- Minimum Viable Product (Product-Market Fit -PMF Begins)
    - Pre-Launch / Market Entry Preparation
    - Launch / Early Commercial Activity
    - Post Launch
    - Product-Market Fit (PMF)
    - Growth & Channel Fit
    - Revenue Validation / Business Model Fit
    - Operational Foundation
    - Early Scale / Fundraising Readiness

*Simplified business categories are listed in Excel along with the NACE division for users. In the webapp, it is only limited to NACE divisions)

7. **Innovation Approach** — **Sustaining (Incremental)** or **Disruptive (Radical)**.

After you select a **NACE Division**, the tool will suggest **SDGs** which might be relevant(see §9).

4.0. Stage I — Holistic Startup Assessment (inside-out)

4.1. Economic Indicators (Finance)

How to use? For each KPI, tick **Applicable** (or leave **Not evaluated**), then choose the **evaluation level** below.

- **Economic KPIs (ROI, IRR, NPV & Payback Period)**
    - **Not evaluated (0)** — you haven't calculated return/valuation yet.
    - **Below industry average (1)** — expected returns/value creation trail sector norms.
    - **Average / No benchmark (2)** — roughly at market pace or no verified benchmark.
    - **Above industry average (3)** — returns/value creation expected to outperform.

- **Sensitivity Analysis (Robustness)**
  - **Not evaluated (0) —** no base/best/worst scenarios or cost drivers tested.
  - **High volatility / Large sensitivity (1)** — outcomes swing widely with small input changes
  - **Moderate volatility (2)** — noticeable variability, manageable with controls.
  - **Low volatility / Stable (3)**— resilient outcomes across tested ranges.

- **USP / Strategic Fit (Positioning)**
  - **Not evaluated (0)** — USP not articulated/tested with customers yet.
  - **No USP (1)** — indistinguishable from competitors; no clear advantage.
  - **Weak / Moderate USP (2)**— some differentiation but easy to copy or narrow.
  - **Strong / Unique USP (3)** — clear, defensible advantage aligned to strategy.

- **Market Growth**
  - **Not evaluated (0)** — no credible market size/growth evidence yet.
  - **Shrinking (1)**— category contracting or being displaced.
  - **Mature (2)**— stable/slow growth; efficiency/positioning matter most.
  - **Growing (3)**— expanding category; demand tailwinds exist.

Scoring: The tool keeps scoring rules. You only select the **evaluation level**; the tool maps it to scores.

4.2. Environmental Indicators (E1–E5)

How to use: For each criterion tick **Applicable** (or N/A), then select the four inputs.
Scores are calculated as below:

$$\text{Impact Score} = \left(\frac{\text{Magnitude} + \text{Scale} + \text{Irreversibility}}{3}\right) \times \text{Likelihood}$$

Shared dimension scales

Low	1
Moderate	2
Significant	3
High	4
N/A	0

These are same for all the dimensions below,

- **Magnitude of Impact (severity if it occurs)**
- **Scale of Affected Stakeholders (breadth of workforce impact)**
- **Irreversibility / Remediability (difficulty of fixing the impact)**

Likelihood

Very unlikely	25%
Unlikely	50%
Likely	75%
Very likely	100%

Indicator-specific Magnitude (choose the row that best matches your situation)

- **E3 Water — "Do we threaten local ecosystems through water withdrawal?"**
  - **Low:** Minimal water use (e.g., small office, digital service) in stable-water areas.
  - **Moderate:** Noticeable onsite use (e.g., small kitchen, craft F&B) **outside** stressed basins.
  - **Significant:** Activity in water-scarce areas; regional suppliers/customers impacted by stress.
  - **High:** High-withdrawal operations or heavy dependence on scarce sources; basin constraints.

- **E2 Pollution — "Do processes cause significant environmental pollution?"**
  - **Low:** Minimal emissions (digital/office-based); limited packaging/testing.
  - **Moderate:** Localized emissions (small logistics, lab testing with standard handling).
  - **Significant:** Notable pollutant load (pilot manufacturing, solvent/chemical use).
  - **High:** Cross-border or systemic pollution (hazardous substances; unmanaged networks).

- **E4 Biodiversity — "Do our activities destroy ecosystems or biodiversity?"**
  - **Low:** Office/digital presence in non-sensitive urban areas; no ecosystem contact.
  - **Moderate:** Limited local habitat effects (small-scale construction/tests in non-sensitive areas).
  - **Significant:** Noticeable impacts (materials from forestry/agriculture; proximity to sensitive zones).
  - **High:** Broad ecosystem degradation or irreversible change; expansion near high-value ecological areas.

- **E5 Circular Economy — "How intensive is our resource use and waste?"**
  - **Low:** Minimal materials/consumables; near-zero waste (digital platforms).
  - **Moderate:** Mixed materials; some waste; limited supply chain dependence.
  - **Significant:** High material/energy use; notable waste generation across processes.
  - **High:** Linear, take-make-waste model; hard-to-recycle materials; systemic waste at scale.

- **E1 Climate Change — "How much do our activities contribute to warming?"**
  - **Low:** Minor direct emissions (office/service); low-carbon electricity/logistics available.
  - **Moderate:** Contained footprint (server use; moderate logistics/consumption).
  - **Significant:** Major energy-intensive activities (manufacturing, transport); scope 3 rising.
  - **High:** Systemic high-carbon model (fossil-heavy processes/supply chain); lock-in risk.

Material topic: Any E/S criterion with **Impact ≥ 2** (tool will flag it).

Social & Governance Indicators (S1–S4, G1)

How to use: Same four inputs as Environment (Magnitude, Scale, Irreversibility, Likelihood). Below are **indicator-specific Magnitude** scales.

- **S1 Own Workforce — "Do our practices violate employee rights?"**
  - **Low:** Isolated/unclear HR issue; single person affected; easy fix.
  - **Moderate:** Repeated or departmental issue; needs process/leadership correction.
  - **Significant:** Core teams/multiple locations affected; strong HR intervention required.
  - **High:** System-wide harm (e.g., unsafe conditions); irreversible consequences.

- **S2 Supply Chain — "Are there labor risks in our value chain?"**
  - **Low:** Minor/isolated supplier non-conformance.
  - **Moderate:** Several suppliers/contractors; medium-risk sites; training/monitoring needed.
  - **Significant:** Common/recurring issues; systemic practices in high-risk countries.
  - **High:** Severe/systemic harm; legal and reputational exposure.

- **S3 Communities — "Do our actions impact local communities negatively?"**
  - **Low:** Minor, temporary inconvenience — e.g. occasional noise, minimal neighborhood change..
  - **Moderate:** Noticeable but contained disruption; limited community segment.
  - **Significant:** Serious negative impact; multiple communities; long-term remediation.
  - **High:** Regional/systemic impacts; displacement or heritage damage.

- **S4 Consumers — "Do our products/services harm consumer rights?"**
  - **Low:** Minor inconvenience; no real harm.
  - **Moderate:** Misleading/unfair but limited harm; contained cohort.
  - **Significant:** Clear consumer harm (unsafe product/claims).
  - **High:** Severe/systemic harm (injuries, mass data loss, etc.).

- **G1 Corporate Ethics — "Do poor standards cause ethical/regulatory violations?"**
    - **Low:** Minor disclosure/ethics issue; easy correction.
    - **Moderate:** Repeated issues; policy/staff updates required.
    - **Significant:** Serious breaches/conflicts; management intervention.
    - **High:** Systemic ethical failure (fraud/corruption); trust collapse risk.

5.0. Stage II — Risks & Opportunities (outside-in)

5.1. Risks (Probability × Impact → Rating)

How to use: For each risk prompt, tick **Applicable** (or N/A), then choose **Probability** and **Impact**. The **matrix** produces the rating: **Neutral, Sustainable, Moderate, Severe, Critical** (scored 0–4).

- **Impact (risk-specific event prevalence/severity):**
    - **High:** Frequently expected under your business model/context.
    - **Significant:** Regularly possible given your geography/partners/tech.
    - **Moderate:** Could arise occasionally.
    - **Low:** Uncommon given current set-up.
    - **N/A:** Not applicable.
- **Probability (risk-specific):**
    - **Very likely:** Near-certain severe consequences if triggered.
    - **Likely:** Recurrent, material consequences.
    - **Could occur:** Plausible, contained consequences.
    - **Rare:** Very uncommon and small-scale consequences.
    - **N/A:** Not applicable.

Note: The app shows **tailored descriptions** per risk domain (e.g., Climate policy, Water scarcity, Consumers & Governance) to help you pick the right levels.

5.2. Opportunities (Likelihood × Impact → Rating)

Select **Applicable/N/A**, then **Likelihood** and **Impact**. The **matrix** produces: **Neutral, Small, Reasonable, Sustainable, Great** (scored 0–4).

- **Likelihood (opportunity-specific):**
    - **Very likely:** Strongly expected given market/tech traction.
    - **Likely:** Reasonably expected.
    - **Could occur:** Plausible with some enablers.
    - **Rare:** Uncommon under current plan.
    - **N/A:** Not applicable.

- **Impact (opportunity-specific scale):**
    - **High:** Major performance gain/advantage.
    - **Significant:** Strong upside.
    - **Moderate:** Noticeable upside.
    - **Low:** Small, incremental benefit.
    - **N/A:** Not applicable.

6.0. Impact Summary & SDG Alignment

- **Material Topics** = any E/S score **≥ 2**.
- **SDG Alignment** = **Stage** SDGs + **Business (NACE)** SDGs, **de-duplicated** and tagged **Stage / Business / Both**. Click Extended SDG Extended SDG Relevance(🎯) for **official Goal + all Targets**.

Quick tips before you start

- Choose the **most accurate, indicator-specific level**—scales differ by topic on purpose.
- If a criterion truly doesn't apply, leave **Not evaluated / N/A** (it scores 0 and hides recommendations).
- Use **Likelihood** conservatively—remember it **scales** the environmental/social impact score.
- After running Stage I & II, review **Material topics** first, then your **Top Risks/Opportunities**.

Opportunity Matrix → Rating (automatic)

- Ratings: **Neutral, Small, Reasonable, Sustainable, Great**.
- Rating → **Score**: Neutral=0, Small=1, Reasonable=2, Sustainable=3, Great=4.

Opportunity Overall Score (dashboard) = average of non-N/A opportunity scores (0–4).

7.0. Impact Summary (auto-generated)

- **Material Topics** — all Environmental/Social criteria with **Impact Score ≥ 2**.
- **What to consider next** — stage-specific tips (product vs service).
- **Relevant SDGs** — from your **NACE Division** and your **Stage**.

8.0. 7) SDG Alignment

You'll see two sources combined and de-duplicated:

- **Stage-related SDGs** (from your selected stage).
- **Business-related SDGs** (from your NACE Division).

Chips & tags

- Each SDG shows a chip: SDG <no> • <name> with a tag: **Stage**, **Business**, or **Both**.
- Click any chip to open the SDG's **official Goal** and **all Targets** (1.1, 1.2, ...).

9.0. Initial Summary

This page gives you an initial-level summary based on the business category and startup stage you selected. It is designed as a screening view of the Sustainable Development Goals (SDGs) that are likely relevant for ideas like yours.

10.0. Results Dashboard (how to read it?)

Scorecards

- **Financial Assessment — Total Score** (single number).
- **Risk Overall** (0–4) with a severity chip.
- **Opportunity Overall** (0–4) with a strength chip.

Environmental Assessment (bars)

- One line per **E1–E5** (0–4), **threshold line at 2**.
- Impacts which ≥2 are **Material** (highlighted).
- **Material Topics alert** lists material items with scores.

Social Assessment (bars)

- One line per **S1–S4 (+G1)**, same rules and alert.

Risks

- Risk scores are given for quick understanding and **material risks** are listed. Graphically rated risks are indicated

Opportunities

- Opportunity scores are given for quick understanding and **material opportunities** are listed. Graphically rated opportunities are indicated

Recommendations

- Based on the **inputs of two stages**, two recommendation sections are given with basic points to align in the future with the progress of your idea.

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9) Exports

- **PDF** — full report (inputs material topics, risks/opportunities, and recommendations).
- **CSV/Excel** — raw scores (optional).
  (Only available in the webapp)

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11) Tips for best results

- Mark criteria **Not applicable** if truly irrelevant (scored as 0).
- Use realistic **Likelihood** (don't over- or under-state; it scales every impact).
- Review **Material topics (≥2)** first — they're your reporting priorities.
- Compare **Risk Overall** vs **Opportunity Overall** to balance mitigation and growth moves.
- Use **SDG Alignment** to anchor objectives, claims, and roadmaps to **official targets**.

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12) Glossary (very short)

- **Dual materiality** — inside-out (your impacts) + outside-in (how E/S/G affect you).
- **SDG** — UN Sustainable Development Goal (1–17) with official targets.
- **ESRS** — European Sustainability Reporting Standards.
- **Material topic** — an impact important enough to **report/manage** (≥2 here).